

Basic Financial
Model

Kahoot

Quiz 7 - Project Economics

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Questions (16)

1 - Quiz

Below are assumptions of a financial model

- Initial investment
- Loan amount
- O&M costs
- All answers are correct ✓

2 - True or false

Future value of present cash can be calculated by compound interest calculation

- True ✓
- False

3 - True or false

A present cash has to be discounted by 'discount rate' to make it future value

- True
- False ✓

4 - Quiz

Which one is **NOT** a method of investment judgement

- NPV Method
- IRR Method
- DPI Method
- Sales Method ✓

5 - Quiz

Which statement is correct about NPV?

- NPV is the sum of present value of all cash flows minus investment
- Both statements are correct ✓
- If NPV is positive, then investment can be justified
- None of the statement are correct

6 - Quiz

Which statement is correct about IRR?

- IRR is a specific discount rate (r) which makes the net present value zero ✓
- Both statements are correct
- Investment is justified if $IRR < \text{the hurdle rate or WACC}$
- None of statements are correct

7 - True or false

IRR means, "the yield rate that **equalizes** the investment and the return"

◆ True ✓ ▲ False

8 - Quiz

Which statement is correct about the relation between NPV and IRR?

▲ If IRR > hurdle rate or WACC, NPV > 0, then the Project is viable ✓
 ◆ If IRR > hurdle rate or WACC, NPV > 0, then the Project is not viable
 ● Both statements are correct
 ■ None of statements are correct

9 - Quiz

Which statement is the most correct?

▲ IRR can exceed 100%
 ◆ IRR can be zero
 ● IRR can be negative
 ■ All statements are correct ✓

10 - Quiz

Which statement is correct about depreciation?

▲ Depreciation spreads a fixed asset's cost over its useful life
 ◆ Two common depreciation methods: straight line and declining balance method
 ● Both statements are correct ✓
 ■ None of statements are correct

11 - True or false

Interest During Construction (IDC) is **NOT** a part of Total borrowing balance to be repaid

◆ True ▲ False ✓

12 - Quiz

Free Cash Flow to the Project (FCFP) =

Disclaimer
Net Income (after tax)
EBT: Earning Before Tax

▲ Net Income + Depreciation expense + Interest repayment - Investment ✓
 ◆ Net Income - Depreciation expense - Interest repayment - Investment
 ● EBT + Depreciation expense + Interest repayment - Investment
 ■ EBT - Depreciation expense - Interest repayment - Investment

13 - Quiz

Free Cash Flow to Equity (FCFE) =

Disclaimer
FCFP: Free Cash Flow to the Project

▲ FCFP + Principal repayment + Interest payment
 ◆ FCFP - Principal repayment - Interest payment ✓
 ● FCFP + Principal repayment - Interest payment
 ■ FCFP - Principal repayment + Interest payment

14 - Quiz

Three IRRs surrounding project, **EXCEPT**:

▲ Project IRR
 ◆ Cost IRR ✓
 ● Lender's IRR
 ■ Equity IRR

15 - Quiz

Which statement is correct:

3 IRRs surrounding project are
▲ Project IRR, Equity IRR, and Lender's IRR

◆ Lender's IRR is always equal to interest rate

● Both statements are correct ✓

■ None of statements are correct

16 - Quiz

Weighted Average cost of capital (WACC) will be lower if...

$$WACC = \frac{E}{(E + D)} r_e + \frac{D}{(E + D)} r_d$$

E: Equity or funds from shareholders
 r_e : Cost of equity funding (expected rate of return)
 D: Debt or borrowings from financial institutions
 r_d : Cost of debt funding (interest rate)

Asset	Debt (D, r_d)
	Equity (E, r_e)
Funds investment	Funds procurement

▲ Higher interest rate or cost of debt

◆ Higher equity portion

● Higher loan portion ✓

■ Higher cost of equity

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